

ARMAGEDDON CASE COMPETITION 2023

COSTA
COFFEE

Revamping Costa Coffee for the Youth

TRI-UMPHANT CONSULTING

Ishan Anand | Jyotika Malhotra | Parth Khanna

Shaheed Sukhdev College of Business Studies, University of Delhi

DIVING INTO THE QSR COFFEE INDUSTRY

Analysing Costa's positioning in line with the industry to identify the need to focus on Customer Intimacy



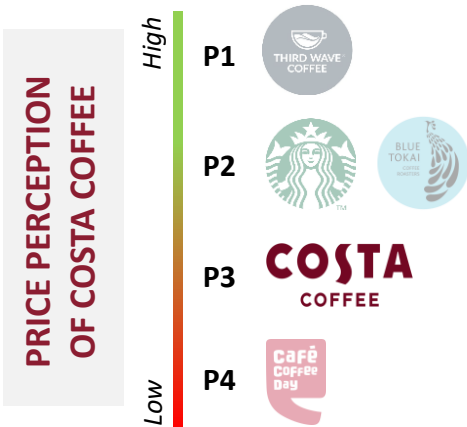
COMPANY OVERVIEW

Costa Coffee needs to reposition itself to capture the 20-30 age group market

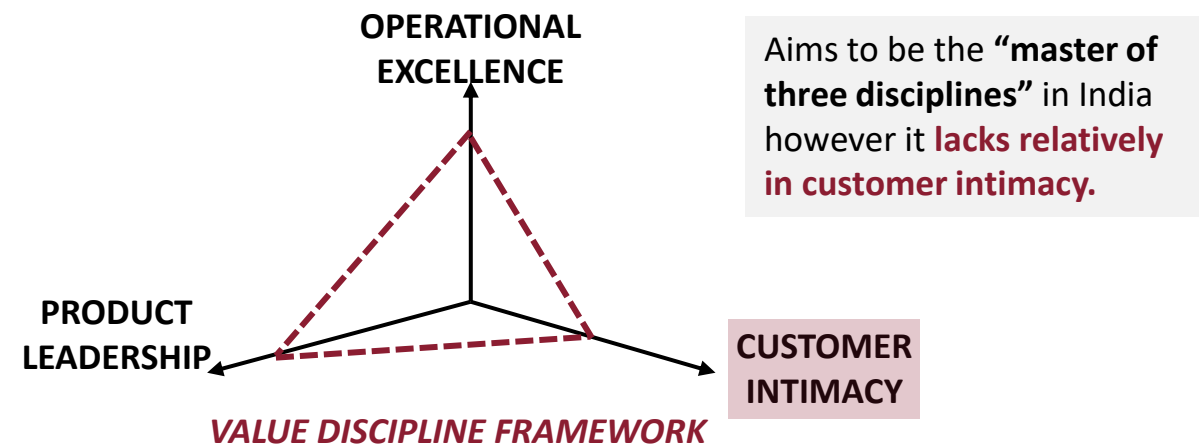
 **25-35 years** > Dominates the market (38.1%)

 **41 years** > Average age of a Costa customer

 **20-30 years** > Ideal target age group

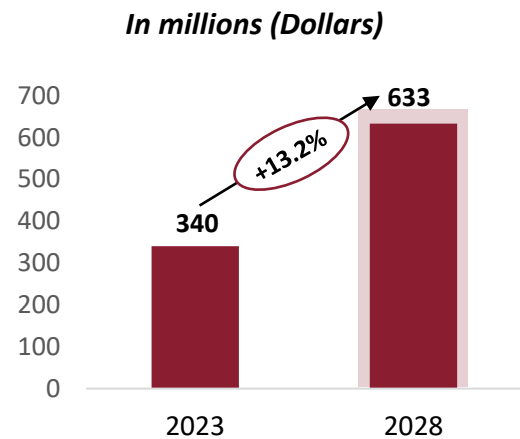


Costa Coffee should strengthen its positioning to improve customer intimacy...



INDUSTRY ANALYSIS

On studying the industry and performing a competitors' analysis, we find...



Growth triggers to be touched upon in order to capture 20-30 age group...

GROWTH TRIGGERS	IMPACT
Increased Youth Spending	
Rise of Fitness – Oriented Consumers	
Growing Offices and Institutes	
Paucity of Alternative Hang-Outs	

DELVING DEEP INTO THE CUSTOMER PERSONAS

Assessing 3 Customer Profiles based on the Target Age Group to arrive at a new positioning for Costa Coffee



POSITIONING



*Crafting Moments,
Brewing Bonds.*

Positioning our brand to uplift customer intimacy:

- ✓ **Community Engagement:** Catalyst for meaningful conversations
- ✓ **Crafted Perfection and Personalised Experience**
- ✓ **Inviting Ambience and Warm Hospitality:** Artistic and traditional touch along with valued human connections

ANALYSING POTENTIAL PERSONAS UNDER THE 20-30 AGE BRACKET...



Jessica, The Social Butterfly

Pain Points: Limited options for health-conscious dining, desire for unique experiences



Harvey, A Corporate Professional

Pain Points: High work pressure, occasional burnout, need for a conducive work environment



Rachel, Health-Conscious Student

Pain Points: Balancing studies with social life, finding **budget-friendly hangout spots**

Positioning the brand to fulfil both types of consumer needs through short term and long term measures....

**LEISURELY
NEEDS**



**ON-THE-GO
NEEDS**

Our Solution to the given case involves both Short and Long Term Measures

Short Term Marketing Campaign

Budget – 50 Lakhs

- ✓ **Gen AI Ad Campaign**
- ✓ **Costa Canvas**
- ✓ **Sponsoring Fests**

Project BrewQuest

Long Term Expansion Plan

- ✓ **New Product Offerings**
- ✓ **Costa Express**
- ✓ **Partnering with Bumble**
- ✓ **Pan- India Expansion**

TARGETED MARKETING CAMPAIGN TO GARNER LOYALTY

Usage of Through the Line strategies to optimize Marketing Campaign in Delhi under a budget of Rs. 50 Lakhs



GEN-AI TECHNOLOGY AD CAMPAIGN

*Sip into Sanity
with Costa.*



Rs. 26,75,000
(53.5%)

COSTA CANVAS Brewing Artistry.



Rs. 5,00,000
(10%)

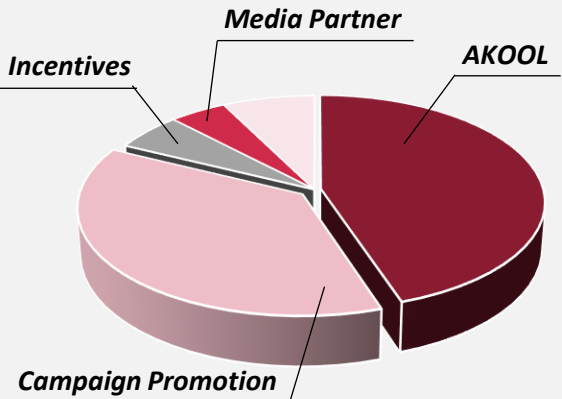
SPONSORING FESTS

Giving every individual the opportunity to “co-star” with their beloved Prajakta Koli, well known as MostlySane...



...ensuring customer intimacy.

Cost drivers involved in the campaign...



Partnering with AKOOL to create the ad...



Cutting-edge GenAI allowing users to create **Personalized Ads** with just a **Selfie** or a few clicks

Impact Potential through the campaign...



1.4 Lakhs

Estimated Campaign Engagements



Rising Culture of Art Cafes

Cafes are *becoming a safe space for artists* to spend leisure time and broaden their creative horizons

From Coffee Dregs to Coffee Paintings...



Creating **Mono-Chromatic Coffee Paintings**



Transforming Dregs into a Cheap and Useful Resource



~500

College Fests in Delhi



~12,500

Footfall per fest per day

- ✓ Targets **20-30 age group**
- ✓ Popularises through **Canvas Contests and Ad Submissions**

Incentivising Sustainably...

- ✓ Reusable, Recyclable Mugs
- ✓ Sustainable Merchandise

MENU AND PRODUCT INNOVATIONS



A fusion of taste and nutrition...



14.6%

CAGR during the forecast period 2023-2029

Rs 1.7 Crores – Projected Pilot Revenue

Growth Factors for Bubble Tea Market in India...

➔

Rise in Health Conscious Customers

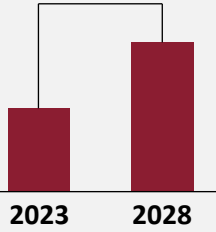
➔

Varied Flavours and Customization using syrups



INDIA'S RTD INDUSTRY SEGMENT

CAGR 18.47%



20232028

Growth is owed to people's busy lifestyles and is becoming popular amongst youngsters and the middle-aged.

Implementation through a 3-pronged approach...

M

Market Research and Product Development

D

Distribution and Accessibility

M

Market and Brand Building



PROJECT BREW HARMONY

Unique line of fusion filter coffees by infusing traditional filter coffee with contemporary flavors like cardamom, chocolate, or spices

Implementation Strategies...

➔

Penetration Pricing: Rs 99

➔

Craftsmanship and Authenticity

➔

Establish "Harmony Brews" outlets in traffic areas, commercial hubs, and cultural centers

SEGMENTATION

Packaging



✓ Glass Bottles

✓ Cans

✓ PET Bottles

✓ Tetra Packs

Distribution



✓ Convenience Stores

✓ Online Retails

✓ Supermarket

Partnering with Q-Commerce platforms

zepto

blinkit

SWIGGYinstamart

Rs 26.4 Lakh

Potential Revenue in Pilot Run

LAUNCHING COSTA EXPRESS AND COSTA X BUMBLE

Developing Brand USP through Costa Express while leveraging Bumble partnership to target young adults



INTRODUCING COSTA EXPRESS TO WORKPLACES AND AIRPORTS IN INDIA

The machines cater to the on-the-run audience as...



CONVENIENCE: Can be strategically placed in high-footfall areas providing a time saving **option for people on-the-go.**

24/7 AVAILABILITY: Catering to late-night workers, travellers, etc who may need a **caffeine boost at unconventional hours.**

PARTNERSHIPS: Collaborating with office complexes, **co-working spaces**, etc can lead to mutually beneficial collaborations.

The implementation is a tedious task and is solved with the help of partnership with RK FOODLAND...

PAIN POINTS

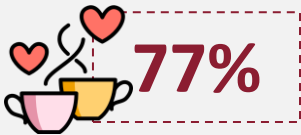
Maintenance	Supply Chain
Localised Menu	Consumer Awareness



- ✓ Supply Chain Management
- ✓ Warehouse Management

FOSTERING CONNECTIONS THROUGH THIS LUCRATIVE COLLABORATION

LOVE AT FIRST SIP...



Respondents believe **Cafes are the ideal first-date venue** as things can be kept casual and comfortable

A deeper look into the Partnership Synergies...

- Bumble x Costa Coffee Pilot Campaign:**
Launching in **18 Cafes** for **3 months**
- Projecting a substantial **Potential Revenue** of **Rs. 30 Lakh** with a healthy **40% Profit Margin**
- Seamlessly merges **Social Connections** with coffee culture, appealing to the **young demographic**

WHAT DO THE COUPLES GET?



Exclusive Date Packages
Premium coffee blends, delectable treats



Exclusive Concert Tickets
Street shows, live concerts



Joint Loyalty Program
Reward points for coffee purchases as well as bumble interactions

SPREADING WINGS THROUGHOUT INDIA

Devising 3 Pronged Expansion Strategy across New Cities and through strategic B2B Collaborations

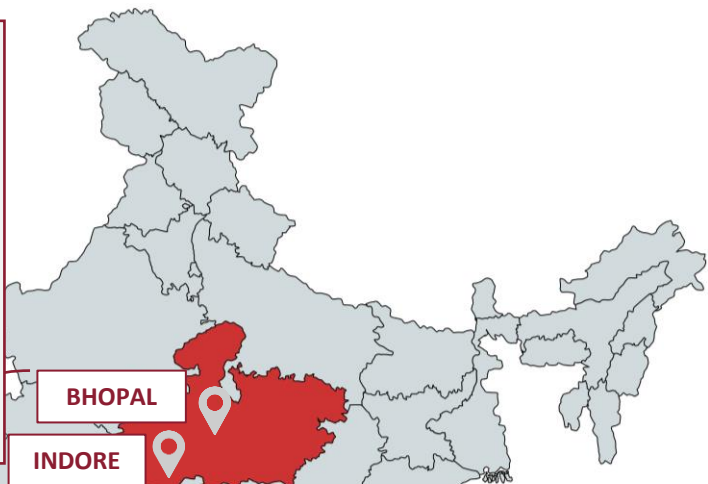


EXPANDING PAN INDIA (FOCUSING ON SOUTH)

MADHYA PRADESH

Growing cultural events and institutes, increased middle class spending by 108% in past 2 years

- ✓ **Indore** (Low direct competition, supply gap with limited outlets, change in lifestyle with 4 hubs)
- ✓ **Bhopal** (4.6% average growth in middle class, rise in business and commercial districts like MP Nagar and New Market)



TAMIL NADU

Around 36% of India's consumption, ideal market to launch filter coffee

- ✓ **Chennai** (Filter coffee culture, 800+ colleges, demand for bottled coffee at retail parks)
- ✓ **Coimbatore** (High demand at tech parks and youth conferences, scattered market with only 1 direct competitor)

KARNATAKA

Constitutes for 31% coffee consumption in South India, ranked 5th in per capita income

- ✓ **Mysore** (Preference for high quality coffee, demand for filter coffee and localized menu)
- ✓ **Mangalore** (Limited presence highlighting the need for drive through outlets)

Partnering with Hotel Chains for Expansion...



CHOOSING THE IDEAL HOTEL PARTNER

Hotels	Location, Foot Traffic	Matched Demographics	Pan- India Presence	Operational Feasibility
Taj Hotels	✓	✓	✓	✗
Marriot Hotels	✗	✗	✓	✓
Lemon Tree Hotels	✓	✓	✓	✓
Hyatt Hotels	✓	✗	✓	✗
InterContinental Hotels	✓	✓	✗	✗

- ✓ Introducing 'Coffee Breaks with Costa Coffee' along with Room Service Integration to include Costa products on the hotel menu.

EXPANDING THROUGH B2B COLLABORATIONS



Educational Institutions

Launchpad for New Initiatives such as Bumble x Costa Coffee



Health and Fitness Centers

Pre-Workout Vegan Refreshments through Outlets and Costa Express

SOLUTION ASSESSMENT AND FEASIBILITY ANALYSIS

Formulating a Prioritized List for all Proposed Solutions accompanied by Feasibility Analysis



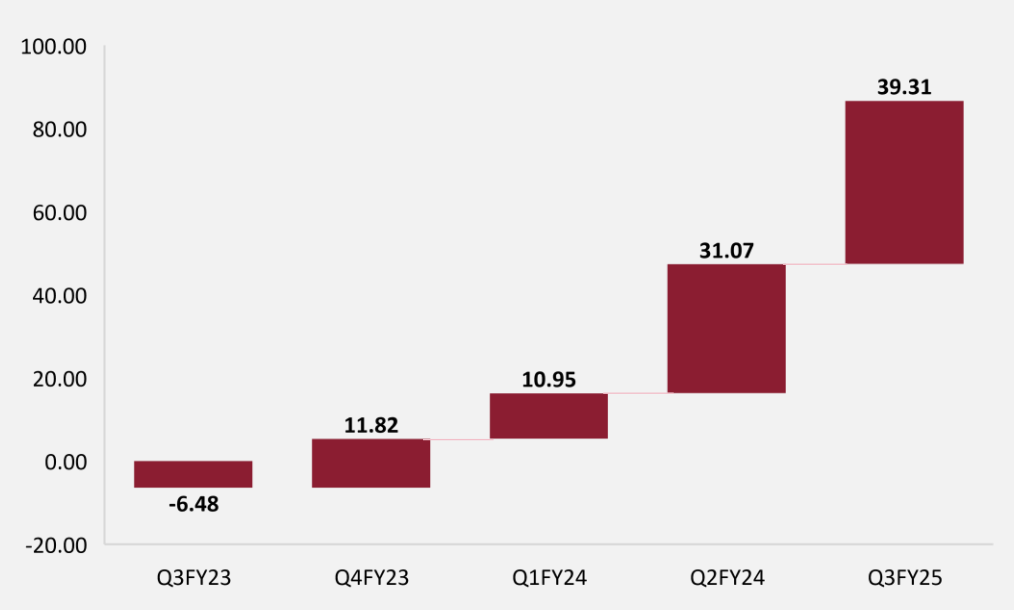
POTENTIAL SOLUTIONS	PARAMETERS OF ASSESSMENT					OVERALL ATTRACTIVENESS
	INVESTMENT REQUIRED (Capex: Small/Medium/Large)	DEGREE OF IMPACT	COMPLEXITY OF IMPLEMENTATION	DURATION OF IMPLEMENTATION (Rankings 1-6: Longest to Shortest)	ANALYSIS METHOD	
Costa x Prajakta Kohli Coffee Painting Cohorts Event Sponsorships	Small	~5 Industries tapped; 1.5 Lakh+ Engagements	Low	6 th (Least time)	Market Sizing, AI synopsis	
Costa x Bumble Partnership	Small	~40% Profit margin from pilot campaign	Low	4 th	Breakeven Analysis	
Costa Express Vending Machines	Medium	~8 Months Breakeven Point	Medium	2 nd	Industry Analysis	
New Product Offerings	Medium	~Rs 2.4 Cr Additional Revenue	Medium	5 th	Adaptability Assessment	
Expansion Plan: South India	Large	~26 Lakhs Obtainable Population	High	3 rd	Profitability Analysis, City Scoring	
Costa x Lemon Tree Hotels	Large	~6 Months Breakeven Point	High	1 st (Longest Time)	Comparative Evaluation	

FINANCIAL EVALUATION

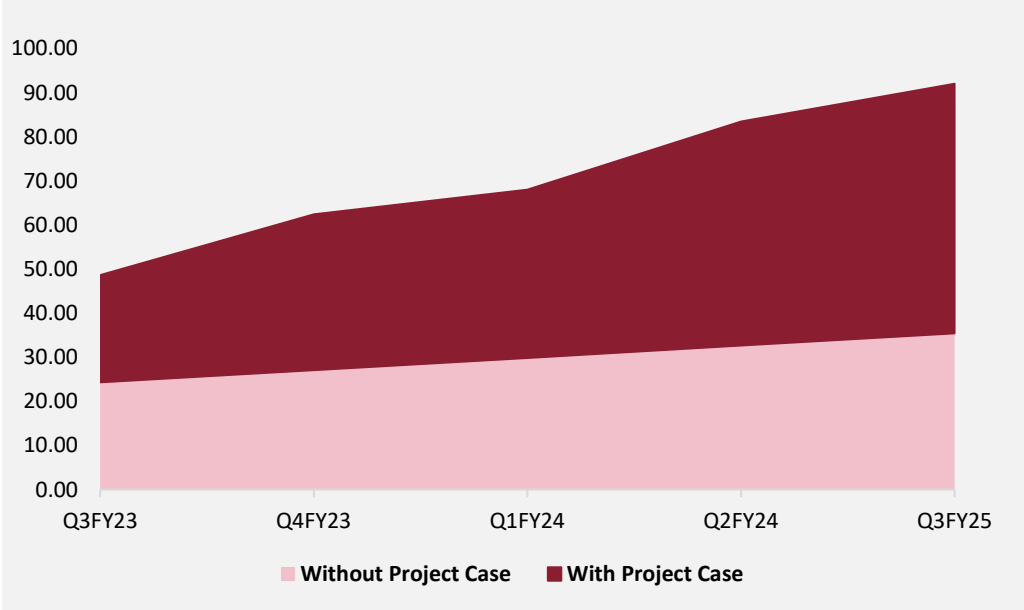
Formulating Cash Flows and Monitoring Impact of each strategy through Identification of KPIs



FORECASTED CASH FLOWS FOR THE ESTIMATED PERIOD



COMPARATIVE REVENUE PROJECTIONS ANALYSIS



Rs 13.17 Cr
Devised NPV
(Project Case)

Rs 1.1 Cr
Increase in Revenue
(Reflected in
Q4FY23)

70%
Retained
Gross Margins
after incultation of
Projects

Costa Coffee India demonstrates a **nearly 4-fold surge in cashflows** over just 4 quarters after the inception of our proposed strategy

The addition of the project adds a **substantial 45% surge in the revenues**, indicating a significant impact on financial outlook

The **viability** and **impact** of the Costa Coffee's operations after adopting the suggested strategy can be measured and monitored using **key performing indicators (KPIs)**

Measuring and Monitoring the Impact of the Project Using KPIs

- 1** **Average Revenue per Customer (ARPC)**

Measuring the **effectiveness** of the new product offerings in **driving additional sales** and **spending**
- 2** **Customer Conversion Rate (CCR)**

Assessing the **appeal** and **acceptance** of the new projects among the **existing customer base**
- 3** **ROI - New Offerings**

A clear measure of the **financial viability** and **profitability** of introducing the new products

APPENDIX



YOU X MOSTLYSANE

Sip into sanity with Costa.

*Where every mug holds
a splash of Mostly
Sane moments!*

This could be you!

COSTA
COFFEE

BREAKEVEN ANALYSIS AND POTENTIAL REVENUES (1/4): COSTA x BUMBLE PARTNERSHIP



POTENTIAL REVENUES - Costa x Bumble		Rationale
Revenue(In Inr)		
<i>(Assuming a pilot run in 1/5th centres based on Industrial Standards)</i>		
Total Number of Costa Coffee Centres	88.00	
Number of Centres for Pilot Run(%)	20%	
Number of Centres for Pilot Run	18	
Average Footfall per day(Weekend)	350.00	https://www.businessinsider.in/business/news/heres-how-much-it-costs-to-run-a-starbucks-store-in-india-and-how-much-it-earns/articleshow/73951676.cms
Number of Days per Week	2.00	
Estimated Conversion Ratio	5%	
Estimate Customer Turnout	35	35 Dates Per Centre Per weekend
Nominal Fee for Booking	100.00	According to a study by the National Restaurant Association of India, the average spend per customer at a coffee shop in India is around INR 250.
Average Order Value(per Date)	250.00	
Premium Multiplier(%)	20%	
Average Order Value(per Date) - Costa Coffee India	300.00	Costa Coffee is a premium Brand
Average Revenue Per Date	400.00	
Potential Revenue Per Weekend	2,46,400.00	
<i>(assuming a pilot run for 3 months)</i>		
Number of weeks	12	
Potential Revenue for Project	29,56,800.00	
Costs Breakdown :		
<i>(for the whole project of 3 months)</i>		
Platform Integration(Bumble)	15%	(Based on Industry Standards)
Commission Charges	10%	(Based on Industry Standards)
Location Setup and Maintainance	20%	(Based on Industry Standards)
Other Operating Expenses	15%	(Based on Industry Standards)
Total Costs	17,74,080.00	
Net Profit	11,82,720.00	

BREAKEVEN ANALYSIS AND POTENTIAL REVENUES (2/4): NEW PRODUCT OFFERINGS



POTENTIAL REVENUES - New Product Offerings		Rationale
Revenue(In Inr)		
(Assuming a pilot run in 1/5th centres based on Industrial Standards)		
Total Number of Costa Coffee Centres	88	
Number of Centres for Pilot Run(%)	20%	
Number of Centres for Pilot Run	18	
Bubble Tea :		
Average Costing Value(ACV)	160	Based on competitor's averages, BubbleBar and Dr. Bubbles
Average number of Cups sold a day	75	An average bubble tea shop serves between 150-300 bubble teas per day
Average number of Cups sold a week	525	
Number of weeks	12	Pilot-Run for 3 Months
Potential Revenue During Pilot Run	1,77,40,800.00	
South Indian Filter Coffee :		
Average Costing Value(ACV)	99	Based on competitor's averages, Barista, Starbucks, Coffee Bean and Tea Leaf
Average number of Cups sold a day	25	An average bubble tea shop serves between 150-300 bubble teas per day
Average number of Cups sold a week	175	
Number of weeks	12	Pilot-Run for 3 Months
Potential Revenue During Pilot Run	36,59,040.00	

BREAKEVEN ANALYSIS AND POTENTIAL REVENUES (2/4): NEW PRODUCT OFFERINGS



POTENTIAL REVENUES - New Product Offerings		Rationale
Bottled Coffee Segment :		
Average Costing Value(ACV)	250	For a standard 281 MI Bottle, devised by penetration pricing of competitors
Average number of Cups sold a day	7	
Average number of Cups sold a week	50	Low adoption rates+ premium pricing with initial inception of product
Number of weeks	12	
Potential Revenue During Pilot Run	26,40,000.00	
Total Revenue from All Product Offerings	2,40,39,840.00	
Costs Breakdown :		
(Percentages as % of revenues)		
Production and Bottling	30%	Based on Industrial Averages
Distribtution	15%	Based on Industrial Averages
Marketing and Promotion	15%	Based on Industrial Averages
Setup Costs	20%	Based on Industrial Averages
Total Costs	1,92,31,872.00	
Net Profit	48,07,968.00	
Net Margin(%)	20%	

BREAKEVEN ANALYSIS AND POTENTIAL REVENUES (3/4): LEMON TREE x COSTA COFFEE



LEMON TREE x Costa Coffee - Breakeven Analysis		Rationale
Assumptions :		
Number of Cafes(pilot test) :	5	
Average Daily Transactions Per Café :	100	Based on Industry Reports
Average Order Value :	250	Based on Industry Reports
Operating Days Per Month :	30	
Setup Cost per Café :	20,00,000.00	https://www.thecommonscafe.com/the-cost-of-a-costa-coffee-franchise-in-india/#:~:text=Costa%20Coffee%20Franchise%20Fees%2C%20Including,from%2040%25%20to%2095%25.
Monthly Operating Costs Per Café :	2,00,000.00	https://www.thecommonscafe.com/the-cost-of-a-costa-coffee-franchise-in-india/#:~:text=Costa%20Coffee%20Franchise%20Fees%2C%20Including,from%2040%25%20to%2095%25.
Revenue Sharing Percentage :	30%	Based on Competitor Analysis
Potential Revenue :		
Total Daily Revenue Per Café :	25000	
Total Monthly Revenue Per Café :	7,50,000.00	
Potential Monthly Revenue for all Cafes :	37,50,000.00	
Adjusted Revenue after Revenue Sharing :	26,25,000.00	
Cost Projections :		
Setup Costs	1,00,00,000.00	
Monthly Operating Costs	10,00,000.00	
Revenue Sharing Costs	11,25,000.00	
Total Monthly Costs	1,21,25,000.00	
Breakeven Point :		
Breakeven Point(In Months)	6	Breakeven Point = Fixed Costs/(Selling Price per unit - Variable cost per unit)

BREAKEVEN ANALYSIS AND POTENTIAL REVENUES (4/4): COSTA EXPRESS VENDING MACHINES



BREAKEVEN ANALYSIS - Vending Machines		Rationale
(In Lnr)		
Assumptions :		
Number of Working Days per Month :	20.00	Assuming weekends off
Minimum Cups Sold per Day :	150.00	Considering 600 cups per day on an average with 4 machines installed
Monthly Rental per Vending Machine :	5,000.00	Based on Costa Uk analysis
Monthly Provision Costs per Machine :	1,000.00	Based on industry analysis
Average Transaction Value :	20.00	Average vending machine standards
Initial Number of Machines Deployed :	50.00	Pilot-Run
Maintainance Costs	2,000.00	Industrial Averages
Marketing and Promotions	10,000.00	Industrial Averages
Monthly Miscellaneous Expenses	4,000.00	Industrial Averages
Potential Revenues :		
Daily Revenue per Machine	3,000.00	
Monthly Revenue per Machine	60,000.00	
Total Monthly Revenue from All Machines	30,00,000.00	
Cost Projections :		
Monthly Rental Costs for All Machines :	2,50,000.00	
Monthly Provision Costs for All Machines :	50,000.00	
Maintainance Costs	1,00,000.00	
Marketing and Promotions	5,00,000.00	
Miscellaneous Expenses	2,00,000.00	
Total Costs	11,00,000.00	
Breakeven Analysis :		
Total Costs	11,00,000.00	
Setup Costs over 5 Years(including rentals)	3,00,000.00	Contractual Mandation : 5 Years
Breakeven Point	7.96	

MARKET SIZING: EXPANSION STRATEGY



TIER 2 EXPANSION - Market Sizing

Estimating the market penetration of Costa Coffee in Tier 2 cities

Population Data :

Chennai	64,07,000.00
Coimbatore	29,35,000.00
Mysore	12,29,000.00
Mangalore	6,73,000.00
Indore	27,07,000.00
Bhopal	24,79,000.00

Demographic Considerations :

Age group	20-30
-----------	-------

Coffee Consumption Trends :

Conversion Multiplier	25%	25% of the people in this age group drink coffee based on industry reports
Average Coffee per week per person	3.00	

KPI's and Considerations :

Potential Customer Base :

Chennai	16,01,750.00
Coimbatore	7,33,750.00
Mysore	3,07,250.00
Mangalore	1,68,250.00
Indore	6,76,750.00
Bhopal	6,19,750.00

Weekly Visits :

Chennai	48,05,250.00
Coimbatore	22,01,250.00
Mysore	9,21,750.00
Mangalore	5,04,750.00
Indore	20,30,250.00
Bhopal	18,59,250.00

Total Visits per week	1,23,22,500.00
-----------------------	----------------

Total Visits per Month	4,92,90,000.00
------------------------	----------------

Conversion Multiplier	5.30%	Based on competitor trends, costa's positioning and market segmentatoin of South India
-----------------------	-------	--

Total Obtainable Market	26,12,370.00	Number of Customers that could be penetrated in Tier 2 cities by Costa Coffee
-------------------------	--------------	---

EXPANSION: MADHYA PRADESH SCORING MODEL



Madhya Pradesh Scoring Model								
Region		PCI	Relative PCI	Population	Population Relative	Youth Population	No. of Stores	Relative No. of Stores
Indore	₹	1,55,648	0.22	33,02,000	0.35	19.58	574	0.41
Bhopal	₹	1,42,760	0.21	25,65,000	0.27	21	268	0.19
Jabalpur	₹	1,35,620	0.20	15,22,000	0.16	20.08	196	0.14
Gwalior	₹	1,20,638	0.17	14,75,000	0.16	21.25	208	0.15
Ujjain	₹	1,37,345	0.20	6,42,000	0.07	19.05	149	0.11
Total	₹	6,92,011		95,06,000			1395	

Weights	0.2	0.45	0.2	0.15	
City	Relative PCI	Relative Population	Youth Population	Relative No. of Stores	Final Score
Indore	4.50	15.63	3.92	6.17	30.22
Bhopal	4.13	12.14	4.20	2.88	23.35
Jabalpur	3.92	7.20	4.02	2.11	17.25
Gwalior	3.49	6.98	4.25	2.24	16.96
Ujjain	3.97	3.04	3.81	1.60	12.42

Rank	Final Ranking
1	Indore
2	Bhopal

City	Identified Hubs
Indore	Vijay Nagar
	Palasia
	MG Road
	Airport Kiosk
Bhopal	MP Nagar
	New Market

- Assumptions and Sources**
- 1. Population and CPI based on 2023 Data
 - 2. Youth Population as per Census 2011
 - 3. Number of Stores sourced from Rentech Digital

EXPANSION: TAMIL NADU SCORING MODEL

Tamil Nadu Scoring Model							
Region	PCI	Relative PCI	Population	Population Relative	Youth Population	No. of Stores	Relative No. of Stores
Chennai	₹ 2,66,000	0.21	1,17,56,000	0.54	17.17	357	0.34
Coimbatore	₹ 3,35,000	0.27	47,32,018	0.22	15.71	203	0.19
Namakkal	₹ 2,70,000	0.21	23,99,976	0.11	17.88	154	0.15
Madurai	₹ 1,88,000	0.15	18,72,030	0.09	17.22	217	0.21
Vellore	₹ 2,05,000	0.16	11,26,321	0.05	19.13	115	0.11
Total	₹ 12,64,000		2,18,86,345			1046	

Weights	0.2	0.45	0.2	0.15	
City	Relative PCI	Relative Population	Youth Population	Relative No. of Stores	Final Score
Chennai	4.21	24.17	3.43	5.12	36.93
Coimbatore	5.30	9.73	3.14	2.91	21.08
Namakkal	4.27	4.93	3.58	2.21	14.99
Madurai	2.97	3.85	3.44	3.11	13.38
Vellore	3.24	2.32	3.83	1.65	11.03

Rank	Final Ranking
1	Chennai
2	Coimbatore

City	Identified Hubs
Chennai	City Wide Expansion
Coimbatore	Tech Park Avinashi Road

Assumptions and Sources

1. Population and CPI based on 2023 Data
2. Youth Population as per Census 2011
3. Number of Stores sourced from Rentech Digital

EXPANSION: KARNATAKA SCORING MODEL



Karnataka Scoring Model								
Region		PCI	Relative PCI	Population	Population Relative	Youth Population	No. of Stores	Relative No. of Stores
Hubli and Dharwad	₹	1,77,798	0.18	11,81,194	0.25	19.57	294	0.25
Mysore	₹	2,05,829	0.21	12,29,000	0.26	19.48	281	0.24
Gulbarga	₹	1,00,446	0.10	7,34,000	0.15	20.85	167	0.14
Mangalore	₹	3,71,771	0.38	8,59,000	0.18	19.23	309	0.26
Belgaum	₹	1,16,510	0.12	7,67,000	0.16	18.89	129	0.11
Total	₹	9,72,354		47,70,194			1180	

Weights	0.2	0.45	0.2	0.15	
City	Relative PCI	Relative Population	Youth Population	Relative No. of Stores	Final Score
Hubli and Dharwad	3.66	11.14	3.91	3.74	22.45
Mysore	4.23	11.59	3.90	3.57	23.30
Gulbarga	2.07	6.92	4.17	2.12	15.28
Mangalore	7.65	8.10	3.85	3.93	23.52
Belgaum	2.40	7.24	3.78	1.64	15.05

Assumptions and Sources

- 1. Population and CPI based on 2023 Data
- 2. Youth Population as per Census 2011
- 3. Number of Stores sourced from Rentech Digital
- 4. Bengaluru ignored due to established presence

Rank	Final Ranking
1	Mangalore
2	Mysore

City	Identified Hubs
Mysore	Sayyaji Rao Road
	Kuvempunagar
Mangalore	NH 75
	NH 13

COSTS BREAKDOWN : COSTA COFFEE x PRAJAKTA KOLI



DEEFAKE CAMPAIGN - COSTS BREAKDOWN

In INR	
Total Budget	50,00,000.00
Deepfake Technology	
Creation of Prajakta Kohli Deepfake	10,00,000.00
Development of User Interface for Selfie Submission	2,00,000.00
Total Cost	12,00,000.00
% of budget	24.00%
Campaign Promotion	
Social Media Ads	5,00,000.00
Content Creation	2,00,000.00
Social Media Influencer Collaborations	3,00,000.00
Total Cost	10,00,000.00
% of budget	20.00%
Prizes and Incentives	
Gift Vouchers, Coffee Coupons, and Merchandise	1,50,000.00
Total Cost	1,50,000.00
% of budget	3.00%

Media Partner(Media Com)	
Campaign Strategy and Management	1,25,000.00
Total Cost	1,25,000.00
% of budget	2.50%
Contingency	
Unforeseen expenses	2,00,000.00
Total Cost	2,00,000.00
% of budget	4.00%
Campaign Costs	
	26,75,000.00
% of budget	53.50%

COSTS BREAKDOWN: COSTA COFFEE PAINTING COHORTS



COSTA COFFEE CANVAS : BREWING ARTISTRY

In INR		
Total Budget		50,00,000.00
Art Supplies		
Canvases	40%	60,000.00
Brushes	20%	30,000.00
Acrylic Paints	20%	30,000.00
Easels	10%	15,000.00
Palettes	5%	7,500.00
Aprons and Protective Covers	5%	7,500.00
Total Cost		1,50,000.00
Marketing and Promotion		
Social Media Promotion	40%	40,000.00
Sponsored Posts	20%	20,000.00
Paid Advertisements	20%	20,000.00
Printing of Promotional Materials	30%	30,000.00
Posters	15%	15,000.00
Flyers	10%	10,000.00
Banners	5%	5,000.00
Influencer Collaborations	30%	30,000.00

Total Cost		1,00,000.00
Event Logistics		
Rental of Additional Seating	40%	30,000.00
Rental of Tables	20%	15,000.00
Rental of Display Stands	15%	11,250.00
Transportation and Storage of Art Su	15%	11,250.00
Set-up and Teardown Costs	10%	7,500.00
Total Cost		75,000.00
Staffing		
Artists/Instructors	60%	45,000.00
Event Coordinators	20%	15,000.00
Support Staff	10%	7,500.00
Brand Ambassadors	10%	7,500.00
Total Cost		75,000.00
Venue Decoration and Ambiance		
Creative Décor Elements	60%	30,000.00
Lighting Enhancements	20%	10,000.00
Ambiance Enhancements	20%	10,000.00
Total Cost		50,000.00

Refreshments and Contingency	
Coffee and Snacks	25%
Customised Costa Coffee	50%
Unforeseen Expenses	25%
Total Cost	50,000.00
Campaign Costs	5,00,000.00



MARKET PENETRATION ANALYSIS: COSTA x YOU CAMPAIGN



MARKET PENETRATION POTENTIAL - COSTA X YOU			RATIONALE	
Particulars				
Population of Delhi		3,00,00,000.00		
Age-wise Segregation :				
0-14	26%	78,00,000.00	(Based on Industry reports - FMS Casebook '23)	
15-24	18%	54,00,000.00	(Based on Industry reports - FMS Casebook '23)	
25-34	17%	51,00,000.00	(Based on Industry reports - FMS Casebook '23)	
35-44	14%	42,00,000.00	(Based on Industry reports - FMS Casebook '23)	
45-54	10%	30,00,000.00	(Based on Industry reports - FMS Casebook '23)	
55+	15%	45,00,000.00	(Based on Industry reports - FMS Casebook '23)	
Geographical Segregation :				
Target Potential Base		1,05,00,000.00		
Internet Penetration		50%		
Refined Base		52,50,000.00		
Behavioural Segregation :				
Awareness	50%	26,25,000.00	Selected age group unfamiliar with costa coffee but follow channels related to coffee and other entertainment	
Consideration	30%	15,75,000.00	Defined personas who are reasonably familiar with costa coffee and follow youtube influencers	
Conversion	20%	10,50,000.00		
Refined Base		42,00,000.00		
People who use Instagram(%)	67%	28,14,000.00		
People who potentially follow costa or Prajakta or both	15%	4,22,100.00		
Potential Client Base without conversion overlaps		1,39,293.00	KPI'S considered : CLV,CAC,Click Through Rate, Active Impressions	
Influencer-specific :				
Social presence(Prajakta Kohli)				
Youtube Subscribers		70,87,000.00		
Instagram Followers		79,00,000.00		
Average Reach(Pan India)		18,53,695.00		

FORECASTING (1/3): REVENUE FORECASTING



Financial Analysis - Costa Coffee (INR in Mn)									
Years	Q3FY22	Q4FY22	Q1FY23	Q2FY23	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY25
Cashflow Projections(Mn INR)									
Revenue :	1	2	3	4	5	6	7	8	9
Without Project Case	14.3	13.7	17.6	22.00	24.34	27.11	29.88	32.65	35.42
Y-o-Y growth %		-4.20%	28.47%	25.00%	10.63%	11.38%	10.22%	9.27%	8.49%
Revenue :	1	2	3	4	5	6	7	8	9
With Project Case	14.3	13.7	17.6	22	24.34	35.29	38.15	50.85	56.61
Y-o-Y growth %		-4.20%	28.47%	25.00%	10.63%	45.01%	8.11%	33.27%	11.33%
Costs Breakdown :									
	1	2	3	4	5	6	7	8	9
Gross Margin(%)	79.70%	81.80%	81.80%	79.50%	79.97%	79.83%	79.69%	79.56%	79.42%
Costs	11.40	11.21	14.40	17.49	19.46	21.64	23.81	25.98	28.13
(Without project case)									
Y-o-Y growth %		2.63%	0.00%	-2.81%	0.59%	-0.17%	-0.17%	-0.17%	-0.17%
	1	2	3	4	5	6	7	8	9
Gross Margin(%)	79.70%	81.80%	81.80%	79.50%	-27%	34%	29%	61%	69%
Costs	11.40	11.21	14.40	17.49	30.82	23.47	27.20	19.78	17.30
(With project case) `									
Adjusted Cashflows :									
Cashflows after adjusting all particulars	2.90	2.49	3.20	4.51	-6.48	11.82	10.95	31.07	39.31

FORECASTING (2/3): REVENUE FORECASTING – ADDITIONAL COSTS



Years	Financial Analysis - Costa Coffee (INR in Mn)				
	Q3FY22	Q4FY22	Q1FY23	Q2FY23	Q3FY23
Additional Costs :					
CostaXBumble	1.77				
CostaXLemonTree	4.04				
Costa Vending Machines	1.10				
New Product Offerings	6.41				
<i>(All other costs inculcated in individual sheets)</i>					
Additional Revenues :					
CostaxBumble					2.96
CostaxLemon Tree					2.63
Vending Machines					1.50
Bubble Tea					1.77
Filter Coffee					1.22
Bottled Coffee					0.88
<i>(Assuming they reflect in Q4FY23)</i>					

FORECASTING (3/3): NPV AND IRR ANALYSIS

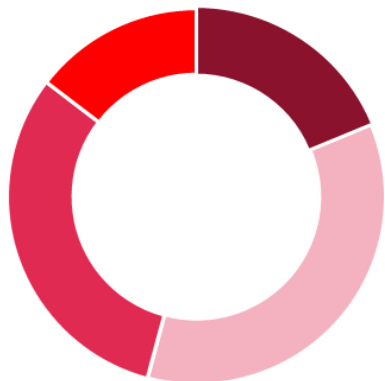


Quarters	NPV AND IRR ANALYSIS				
	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY25
	1	2	3	4	5
Cashflows	-6.48	11.82	10.95	31.07	39.31
FCFF Inputs	-6.48	11.82	10.95	31.07	39.31
Disocunt Factor	1.10	1.21	1.33	1.46	1.61
Present Value(P.V)	-5.89	9.77	8.23	21.22	24.41
Discount Rate	10.00% https://finbox.com/DB:3CH/models/wacc/				
TV	131.03				
PV of TV	73.96				
NPV	131.70				

RESULTS FROM PRIMARY SURVEY

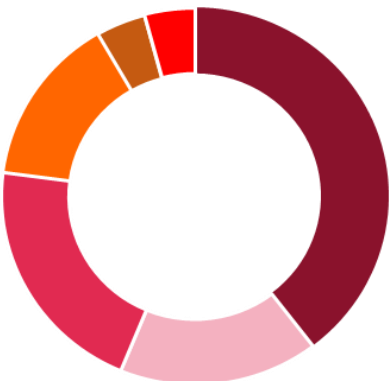


Most important factor for choice of Coffee Outlet



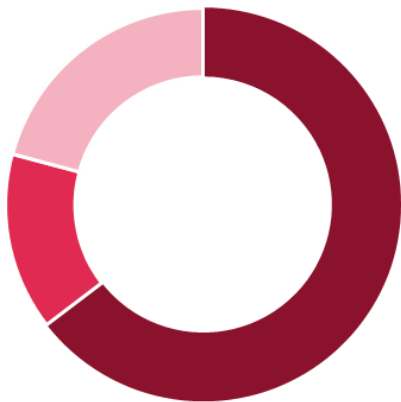
■ Quality of coffee ■ Location/Convenience ■ Variety/Options ■ Ambience

Most visited Coffee Outlet



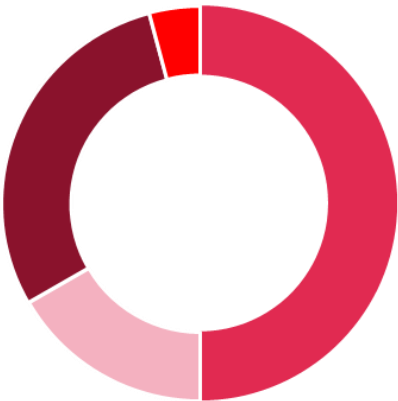
■ Starbucks ■ CafeDTU ■ Nescafé ■ Café Coffee Day ■ Costa Coffee ■ Barista

User Response for Costa Express



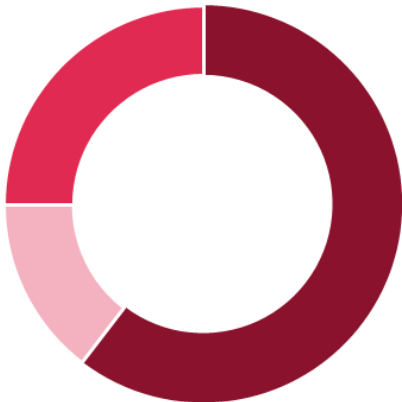
■ YES ■ NO ■ MAYBE

Preference for Coffee Service



■ Vending Machine ■ Homemade ■ In Store ■ Drive Thru

Ideal place to have Coffee



■ Office/College/School ■ Cafes/Coffee Shops ■ Home